Crisis Is Coming In Early 2027 | Cem Karsan

Podcast: Thoughtful Money

AI Executive Summary

Core Thesis

The episode argues that while short-term capital flows following the recent US midterm election are structurally supportive—driven by volatility compression and options market mechanics—a significant macro crisis is likely approaching in Q1 next year. This "debt crisis" stems from a confluence of interest rate pressures, debt refinancing waves, potential energy inflation (via the Strait of Hormuz scenario), and hyperscaler capital allocation needs. To navigate this, investors should rely on objective flow analysis rather than political narratives, utilizing options for convexity to hedge tail risks while positioning in sectors aligned with anticipated government strategic spending and inflation hedging.

Key Arguments & Data

- **Flows Over Narratives:** Capital flows (options volume, skew, buybacks) are more reliable predictors of price action than headlines or political outcomes. Post-election uncertainty has resolved ("the ball got sucked out"), creating a "Santa Claus Rally" setup at year-end due to options decay and re-leveraging effects.
- **The Debt Crisis Hypothesis:** The Treasury/Trump administration has incentives (Hank Paulson's April announcement) to engineer or allow a painful market correction early next year (Jan–Mar) to justify creating sovereign liquidity facilities. This is a "boiling frog" strategy where they need crisis pain to gain buy-in for debt backstops or sovereign wealth funds.
- **Macro Risk Factors:**
    - **Strait of Hormuz:** US control over commodity trade via the dollar remains inelastic; supply shocks are likely leading to inflationary pressure on energy and fertilizer costs (inflation will be felt more acutely in Spring 2025).
    - **Debt Maturity:** A massive wave of debt refinancing is maturing starting early this year, adding to interest rate pressures.

    - **Hyperscaler CapEx:** The Trump administration actively drove 600 billion+ in capital expenditure (CapEx) for tech giants (Zuckerberg's hot mic moment). As cash reserves drained, these companies now have high debt loads, driving credit default swaps (CDS) and crowding out government debt.
    - **Yield Breakdown:** The 10-year Treasury yield is expected to break near 5.3%, pushing bond prices down and equity valuations under stress.
- **Positioning Philosophy:** Use "concentric" risk management: Long-term macro outlook is likely left-skewed (risk of crisis), but short-term flows are bullish. Do not bet early; use options for convexity (Long Puts + VIX Calls) to capture crisis alpha without losing capital to sequencing risk.
- **Institutional Tools:** A "concert approach" where hedges and reserves are managed dynamically based on flow signals, rather than betting the farm on one trade.

Actionable Takeaways

- **Shift Strategy from Narrative to Flow:** Stop basing trades purely on political narratives (e.g., impeachment scenarios) as they are slow-moving; instead, monitor option skew, volatility compression, and actual capital movement to time your entries and exits.
- **Prepare for a Q1 Crisis:** Begin positioning now but wait for flow confirmation signals indicating the start of a sharp correction in Jan–Mar next year. Use "long tail" options rather than short-term bets to capture the crash without being liquidated too early.
- **Implement Convexity Hedging:** Utilize tools like long puts on S&P/VIX and variance futures to create portfolio asymmetry. This setup ensures profits during a downturn while protecting capital from a slow decay, allowing for aggressive buyback opportunities at 20%+ market drops.
- **Diversify into Strategic Assets:** Rotate equity exposure toward businesses that benefit from potential inflation/debasement and government strategy (AI, Defense, Infrastructure). Consider hard assets like commodity producers (miners), farmland, and lumber for debasement protection.

- **Adopt a "Plan B" Portfolio:** Do not put all funds in the stock market immediately. Maintain dry powder to deploy only when flows confirm a correction has begun, ensuring you are buying the bottom rather than selling into weakness at year-end.

Full Transcript

Are you looking for a trusted health insurance? Allianz covers you beyond borders. We deliver peace of mind just a click away with global telehealth access and round-the-clock support. Backed by 2 million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit AllianzCare.com and explore our Singapore plans to find out more. Terms and conditions apply. Hank Paulson came out in April of this year onto Bloomberg. out of the blue, hadn't spoken to media in years, to declare for 45 minutes that we are approaching a coming debt crisis and that we need to prepare a facility to backstop the treasury market. So my view is a big call. Is that something's coming sooner rather than later? You want to be start getting prepared, but also looking for when the flows like we talked about are just right, which are probably starting in January.

Welcome to Thoughtful Money. I'm Thoughtful Money founder and your host Adam Taggart, welcoming you here for a very special discussion with Jim Carson, Jim Croissant.

As he's known on X and across social media, sometimes referred to as Mr. Volatility. We're here to talk about all sorts of things, flows, macro, the repercussions of the most recent elections that were just held last night, as well as some brand new partnerships for his firm. Joining us is Jim Carson, but also his new partner, Noel Smith. These two great titans have recently joined forces. largely around their company, Kye Asset Management. I'm gonna let them both tell you what's going on there and then we'll dive into the discussion. Jim, pleasure to see you. Great being here. Great to be back. Eventful day. Yes, very eventful day. And also, I guess a lot of news recently for Kye Wealth and the Kye family of investment solutions. Yeah, it's exciting. We've been growing considerably less a couple of years and obviously getting to a point where we need more a great team, Noel, who can speak kind of for himself, kind of a vol superhero in his own right, very fortunate to have him kind of join us as Co-CIO. He's actually, believe it or not, got six or seven years on me in terms of vol experience, and he really

knows this stuff, so lucky to have him on the team, kind of both helping us get more solutions and also really think through these flows, et cetera.

Wow, Noah, that is high praise coming from a guy like Jim to say that you've got perhaps a superior experience there on the volatility side. Tell us a quick 60 seconds about yourself, Noah, and then we'll just jump right in. Sure. I started out on the floor of the SIBO in 1996 and been trading ever since then really started out as a market maker on the floor started working with my partners out of Susquehanna. And we developed a proper trading firm and market making firm at that time with a large presence of really every major exchange that mattered. Sibo, the Merck, the Board of Trade, the NIMEX, the Comets, the AMEX, kind of sort of everything. And then I launched a hedge fund about seven years ago. And then Gem and I met in Florida about six years ago. And we've been kind of chatting and discussing and talking.

about strategy, trade philosophy, and so this has been really more the maturation of that relationship and kind of taking two ideas and two trade styles and figuring out where they're most complementary. All right, fantastic. Well, look, as I understand it, which is only partially, and look forward to learning more in this discussion, one of the things that you focus on very closely are flows, capital flows, and that there may be some implications, some important implications amongst flows, resulting from the election that we just had. So why don't we start with flows, then we'll jump back up to the 30,000 foot macro level, we'll bring Jim in for that. And then we'll end with getting to kind of just the practical advice, which is, hey, how does one position for the type of future that you see going forward? So if that's all right, tell us a bit about how you analyze flows and what you see going on right now in the flow space. Sure. As a market maker, you're not as concerned about the story. The story is the human words that people use in order to craft a narrative around.

price action. These are the headlines we read in the papers, right? Correct, exactly. And from a market making standpoint, you're looking at just the minutiae, the really looking at where the rubber is meeting the road and where we're going is less important than how we're actually getting there. So the flows is something like, if you look at Polymarket or Cal-Shi, not a

paid sponsor, that is the effect of people placing money into the marketplace, irrespective of what they may want. It is an actual monetary decision and options trading and trading writ large is kind of the same idea. It is where people are putting their money and how you can interpret that information. How can you glean something actionable for yourself and for your book out of that information? And that's basically what I'm trying to do when I'm looking at flows. The flow is the, from the idea of a trade.

to the actual execution of that money. And if we can use that information for our benefit to craft something that is also profitable, that's the point. Options are a great way to do that because options have a certain predictive nature to them because there's a forward projection, whereas stocks are a little bit more less forward. And then, you know, obviously the rest of the commodity complex and bonds and whatever else. So looking at what's going on today, you see the market up after being down big last night, a very large reversal. And you're also looking at fall come in and everything interest rate is kind of gone to where frankly, a lot of people kind of expected it to go in this kind of an environment, which is to say, you know, a blue wave. Okay. So first off, I guess flow analysis, tell me if I'm thinking about this the right way, but it's sort of the old adage of, don't, don't listen to what people tell you.

watch what they do, right? At the end of the day, that's really what matters. So that's kind of what you're doing with capital flows. Ignore the headlines, just see where the money is actually going here. So gosh, I guess with this post-election move here in the markets, I guess first off, markets up big after having been down last night, as you said, why do you think all of a sudden, things turned around and now the tape is green here. Are there expectations that things are going to be more favorable for certain assets going forward or what really is driving that reversal, do you think? Yeah, there's a few embedded questions in there. So once the first thing is I look at volatility as volatility comes out of the marketplace because there is now more certainty within the marketplace because the unknowns have now been transmuted into the knowns, right? So with that some volatility gets sucked out of the market and that creates flows that will start to support market go up. And I think that is very much to be expected. And then the sector rotation that you're seeing like Defense stocks are going down

interest rates sensitive stocks like home builders are going up Some of the hyperscalers might not get the data centers that they want so some of those stocks have been kind of soft So everything is kind of rotating under the hood kind of where you'd expect it to be Based on the narratives that some of these candidates have been talking about during their campaigns So I think from that perspective things are going to plan and the most important part for the market going up is the ball getting sucked out going into end of year. Traditionally, it is a bullish setup. And as people are structuring for the beginning of a new year in January, and all that volatility coming out of the market as it starts to come closer in time, because those January options that were on the market or on the books from like last year or even the year before, those are leap options, they start to decay, they start to go away. And that ball as we approach that time also gets sucked out, which also creates more supportive flows.

Okay. And I'm going to jump in here real quick out of it just because I want to let, and I want to let Noel kind of riff on this just a little bit. But one thing that Noel didn't mention, which I think is, you know, is important is, is not just vol as in a monolith, right? There's SKU in the marketplace, right? Different implied volatilities at different moniness, different out of the money and time, et cetera. SKU has been very high because people are worried and going into events generally, it's high. All of the past elections midterm or otherwise for the last 20 years have experienced high skew because people are hedging. People are concerned about the event. That's that proverbial wall of worry that people talk about very kind of qualitatively. But quantitatively, it's an actual positioning of downside insurance that people are hedging and selling upside to carry it. And that ultimately means that dealers our short put long call. And the way it says, this is hedged by dealers, market makers like Moll and I, you know, or banks is ultimately to sell, to be short stock against that carry positive trade, right. And to manage that. And those, those flows I talk a lot about, Vana and Charm. But those I think play a meaningful role. Every single election for the last 20 years has seen positive flows.

Coming out of it regardless of me about all the outcomes we've had really varied positive negative outcomes and this is one reason for these elections regardless as long as there is a Resolution as long as this isn't a contested

election or something really unexpected happens Yeah at the end of the day that I met passes as Mol said and that leads to structurally positive buyback and Delta's as that wall compresses I think that's okay. That's a critical kind of So my simple mind just thinks of it as sort of it's the all clear, which is, hey, we didn't know what was going to happen. Everybody placed their bets and put their insurance in place. Now we know what happened. And those bets can be unwound. And now we have more certainty about what the world is going to be going forward. So let's now place our new bets. And that's the new capital flowing back in. As simplistic as that is, is that still pretty accurate?

It's actually simpler than that in some ways. So if you are a market maker and you say you have 10 million shares of XYZ short against your options book, and then the volatility comes out of that options book, now you no longer need 10 million short shares. So maybe that new number is six million short shares. So that four million share difference, you have to buy back. So it's not even so much that they're readjusting everything with that volatility necessarily means the hedge ratio. changes. So then those market makers will purchase those shares back, which just really means that that's the structural part that Gem is talking about. It's not that the market's giving it all clear because when has anybody ever said it's all clear, right? Nobody ever says that. It's just a diminishment of the ratio of risk that is needed relative to the hedging that's out there. Okay, all right. So what's the effect of this from a time perspective? In other words, is this just sort of a short-term reflexive pop and then Once it's over, things re-equilibrate and we go back to where we were a week or two before. Or is this the start of some new trend, do you imagine? It's a good question. The reason I say it's a good question is because you have to look a couple layers deeper than that. You should be looking at something like the ZQ futures or something that shows you where our interest rate is supposed to be going.

At the beginning of this year, we're talking about cuts. Then we're talking about hikes, and now we're talking about less hikes. There's only 50 hikes or 50 bits of hikes priced into the marketplace between now and next September. So that is why you see things like home builders doing really well because in that sector, things are going well because rates are coming in. So if you look at things like the Russell relative to the Qs. that the

Russell probably has more upside with a lower rate environment. So if you're trying to disentangle what is the signal here, you really just have to know where to look. It's not that hard, but rates and vol are the place where a lot of this stuff starts to intersect. Okay. So in terms of what it's telling you about the future, what is it telling you about the future? The flows right now as you're looking at them.

and maybe try to contrast this to where things were a week ago, just before we had the results of the election in front of us here. You mentioned a couple of different sectors or parts of the market that should do well if interest rates, hikes, remain muted going forward. But are the flows telling you other stories in the midst of all this as well? Um, I would say no, it's not necessarily a different story. It's nuance of the same story. So as Val comes out, think about this. You know, I like to speak in analogies because I think it's simplest for easy and easiest for people to understand. If the rate volatility comes in, the stock volatility comes in because those two things are brothers, right? If, you know, if Adam Taggart is worth, you know, 100 million and all of a sudden he's worth 200 million, he's more solvent. He's more likely to be. I like this analogy, by the way. It's a good one. I gave you a bump, right?

So, you know, if, if, if your credit worthiness is going up because rates are going down, then your equity will probably also get a bump. So again, this is a more structural thing, which is something that Jim talks about a lot, which is something when we talk off camera, we totally agree about. So there is a reason, there is a mathematical reason for you to be more credit worthy with interest rates going down because the idea that you can service your debt at a lower interest rate is true. It's just true. And the same thing applies for really the whole marketplace because credit. and equity are interlinked. And then the volatility of equity is interlinked with that because one is a derivative of the other. So that's kind of what I'm saying. It's a structural thing. This is not really an opinion or a referendum on Trump or Tallarico or something like that. It's not like that at all. It is just a mechanical part of the marketplace that if you see volatility come out because rates are coming in, there will be a bid. So is that a referendum on the next, you know, between now and January?

Not really. There's probably not much that's going to happen. Trump is going to try to do whatever Trump tries to do. But as that government starts to really crystallize its picture as to what is really going to happen with the new electorate, then things will start to crystallize and things will find their new safe space. I think there's another layer to be added here, too, which is there is a set of flow dynamics at the end of the year. that assuming vol continues to stay relatively compressed. And there's not a surprise, meaning something that comes out of the blue that surprises the market. Right now, we've gone from a scenario where dealers were maybe not too long a vol, where they have now decayed much longer, implied volatility, and structural products will continue to come in every day and supply vol. So as we enter November, historically, especially, you know, we have positive structural flows that should continue into all things being equal into the November midterm. And then we have November, we have Thanksgiving immediately after when what would be kind of a weaker period, this kind of window of weakness. And then we get into big structural December positive flows followed by Christmas. So there's this very kind of, it's a very much a headwind if you're trying to, or a tailwind for beta, I would say, or a headwind if you're trying to fade this. That's structural. That doesn't have to do with interest rates or kind of macro outcomes. That's just a baseline. And given this event flow setup, if we don't reverse quickly, if something, and some news doesn't come out to allow us The day forward action here should be very supported into the end of the year because of a lot of those dynamics Lastly, I'll say there's a re-leveraging effect at the end of the year, right? There's this Know what is this if the market's up on the year plus interest rates are paying you kind of four and a half percent money needs to go back to work And because most trades are a leveraged bet which people forget, right?

There's just more money that now needs to get invested and that doesn't happen every day like people think a lot of this happens Jan 1 and this in my view is the biggest driver of this Santa Claus in January fact that we've seen Over a hundred years of history and if anything it's increasing and when markets are up it's bigger and So put all these together Especially given how big the options markets become and how much more structured product issuance there is and how much more ball compression there is this end of the year period just simply outside of the macro like Forget about the

macro. It's structurally very supportive. Now, we'll get to the macro. I don't want to kind of put the cart before the horse. There's a lot of things that to be concerned about more structurally. But from a positioning and flow spaces coming out of this election, given that we've had this nice positive move involved, it's gotten sucked out of the market like Nils said. You know, flows are, I would characterize them as meaningfully positive.

Okay, so I'm glad you clarified that and also mentioned the macro because I've been looking at some of your recent statements, Jim. And on the macro side, there do seem to be a lot of clouds out there looking through your lens. But what I hear you saying is, okay, those aside for a moment, just sort of structurally flow wise, the end of this year looks like it's probably going to be a Santa Claus rally. This looks like it's set up more likely than not to have a strong end of the year. I like to kind of frame it as there's three legs to the stool, right? And they all matter. You can't look at one and just say, okay, the flows are positive. So we're going up. Okay. And they interact with one another. Okay. And the way to think about this is what does this likely mean for broader path? And we're also not just looking up down.

We want to be very thoughtful about what's the distribution of outcomes? What's the amount of risk that we have? Is this a left tail, fat left tail, right distributed? What is the potential? How should we be positioning to take advantage of these forward distributions? So there's three legs of the stool are, one, the flows, which I just mentioned are structurally, and they'll mention is structurally very positive. You know, vol compressed as well, not just positive, but kind of taking down risk because there's supportive flows there. The second one would be macro would be and macro what do I mean by macro because I can mean a lot of different things I mean the things that hit like liquidity where where the rubber meets the road interest rates as Noel mentioned, right? That's a critical kind of input to the system inflation economic growth or earnings grow, right? Like how much more money money is coming in to the system that can lead to buybacks other things that directly impact price. All right, so macro And the third leg of the stool, which honestly up until maybe a year and a half ago mattered a lot less, but with this administration, which has been very proactive, is what are the players at the table today? And so what is that guy with that big stack sitting

on the other side of the table to government, that treasury, what are they doing to push price or...

Allow things you know what and what are their incentives? So there's really three legs and I think those other two are more important than usual flows are usually very very dominant in a in a world where otherwise the other stuff is kind of narrative and noise Right often and moves more slowly But big macro things happening obviously which we should dive into as well as big incentives for the administration big actions from a geopolitical perspective that the administration is falling So I think macro is maybe we dive in there next, but the flows are supported in the context of this. Let's now talk about kind of what lies ahead and how that's going to play out. Okay, great. So we'll do that with macro in just a sec. I got one last question here for Noel on the flows, which is, as I sort of said earlier, you're really just watching where money's going.

and basing your conclusions off of that. I am curious, with something like the election we just had, where there's a big change of the guard, so Democrat sweep, a lot of those candidates have quite different policies than the people that they've replaced. And there's a lot of, at least talk about sort of political warfare. We're going to impeach Trump and his cabinet. Who knows if it's going to be this way, but there's the potential for there to be a lot of chaos drama, whatever, in the political system. Do you factor that in at all to your analysis, or are you just saying, look, however that impacts flows, I'm just going to know as the flows themselves start to change? So listening to cogent arguments and then trading off of them is not something I've ever been able to make money from.

So the short answer is no, I'll give you a super short version of this when Bill Ackman was talking about Herbalife and it was a short. It's like the most convincing short ever, right? And so I'm listening to this like anybody else on television or whatever else I'm consuming his short thesis on Herbalife. And then I was just at the same time shopping for a house in LA and then my realtors like, Hey, do you want to go look at this house over down the street? And I'm like, well, it's not really in my budget, but sure, I'll go take a look at it. And so I'm at this. I'm in this house and the realtors like This is the CEO of Herbalife. I'm like, no way. So this guy is selling his

house. Bill Ackman's telling me to short the stock. So I short it and it goes straight up. So I mean, those types of things are maddening when you think you really do have something that's like you can sink your teeth into and it just doesn't work out. So from that story, I typically only look at what is what is and what is the math.

And the stories while I find them as interesting and compelling as anybody else, I tend to not act on them because I've been wrong and it's cost me money. So it's difficult for me to really get behind a narrative like there's going to be gridlock or Pete Hegseth is going to be impeached or something like that. What's the trade there? If you told me tomorrow what Trump is going to do, if you told me today what Trump is going to do tomorrow outside of nuclear war or whatever, I don't know that I would be able to trade it. it's very difficult to know how to do those things and then also know that how the market is going to interpret it. And I think this is what makes for such a great partnership because I think Noel is 100% right. At the end of the day, there's one thing that I think we can measure with great level of accuracy and that has a direct one-to-one impact on price in the short term, which is positioning, which ultimately also drives flows.

Right? That is what we can look at and say, if people, if the world is long and hedged, that is supply and weight, right? And vice versa, right? And in the option space, that's become bigger than ever an incredibly useful tool. That said, I do think that big picture incentives, what administration may or may not do, what the macro is doing and trending to. Those are valuable things, but they work over much slower, longer periods. So when we're looking at those, those need to be looked at on a quarterly annual, sometimes multi-annual basis. And many, many times, the correct long ends up with poor price action before it three, four X's, right? Before you're proved right. Yeah. Right. And so that's where the flow has become incredibly helpful. It's managing these short-term distributional effects, understanding where what may need to happen before. And this is kind of some of that nuance we'll probably get into here as we start talking about, you know, I've been very vocal about a broadly post midterm, you know, a poor outlook on a much longer time frame. People often say, well, Jim, we're up today.

Right. Like I also said, that expect positive flows coming out of the midterm and in support of structural flows here. So you have to put these together and the best approach, the most successful approach, modeling forward distribution means modeling one day, one week, multi-week quarterly. And these distributions, these pressures, both a multi-quarter annual view on some macro outcome puts pressure on a one day, two day, one week outcome, but the flows are. overwhelmingly dominant in that scenario. So it's melding these together into a forward distribution outlook. Probabilities over a short period might be very right distributed while in the over a multi-quarter period it might be left distributed. And understanding these dynamics and how they interact is critical. But the flows, when people are asking daily, weekly questions, how do I trade this now? Those are overwhelmingly going to be impacted by the flows as Noah stated. Yeah, he's so right. There's the fundamentals of a stock like Apple, right? So if there's an antenna gate or there's a crack in the new duo fold or whatever else, those are small things. And those are things that can be traded in the next 24, 48 week hour, whatever. But when it comes to the trajectory of the economy, whether it be through politics or geopolitical forces writ large, the more tectonic type of shifts and fighting those and having a perspicacious view of those things where the tides are kind of moving overall, not worrying about the day-to-day. Those two things work in synergy and are complementary. So the vision I'm getting in my head here of your two partnership is like James Kirk and Mr. Spock.

No, you're kind of Mr. Spock there. Yeah, I was about to say, I think we know who Spock is. Yeah, you're keeping Jim grounded. He's going to think about everything in the universe and in the mix. But you're saying, look, this is what the logic says, and we've got to pay attention to logic. You're just keeping him grounded. And I hope that's a good analogy, because that was a great partnership, obviously. All right, well, then let's use that as our entry here into the macro world, Captain Jim. So, OK, short term. More likely than not you think the market's gonna enjoy an end of the year to the year a good end of the year here But you got a lot of other bigger structural concerns as we move forward in time. Yeah, so I'll set this up beginning with those flows again We've seen very high skew because people were hedged right not just for the midterms But because there's a lot of structural skew in the market because we're at the end of the year as a big structure

product issuance a lot of a lot of options that have been on the Board for years as leaps right here in December But so those those things are structurally supportive And and that's essentially the way to think about that is people are worried There's some structural elements, but people are also worried because of what I'm about to talk about in terms of and and when that happens historically If we look at the last seven years of data just recent data for the options markets have been more something more dominant. I only seen skews this high broadly, uh, twice. And those two times were, uh, late 2019. Think of it as like September, October, not too different than now. Um, and, uh, really starting in maybe about July or so of 2021. So, uh, you do your own kind of, and it's three data sets. I don't want to overstate it.

They preceded some rougher times in the markets. And people, ourselves included, were talking about, you can go back, this was early days of one jam croissant, but we were talking about in mid to late 21, about, hey, storm clouds not happening yet, storm clouds early 22, we actually called the 22 decline, the beginning of it, within a week. And then we did that six months forward. Similar. in 2019. Now, people would argue, COVID, come on, you couldn't have known COVID was coming. We knew about COVID in December, January. And we were talking about the risks also facing, you know, markets even before the COVID news came out because there was a lot of things going on under the hood that weren't COVID related as well. And so that skew was higher even before the COVID news really hit. And yet it took when? When do we top?

Actually, I'm going to let Noel tell his story. Noel has a particularly insightful view on the COVID action. Before we get to the macro, I'd love for you guys to hear a little bit of his experience there. Hey, let's with it, Noel. Sure. So at the time of COVID, I'm working in the Bay. And I would say 60 or 70% of the office is Chinese. And, you know, they had a lot of direct contact with mail in China talking about Wuhan. I have a degree in biochemistry. I'm trained and by warfare by the military. And I also worked in a lab that was adjacent to a virology lab in university. I'm pretty acquainted with the concept of gain of function and that kind of stuff. So as this stuff is kind of, you know, getting into my brain, you know, we're starting to buy some S&P puts. And the exact first COVID trade I did was

Broadcom on Apple earnings. So and I'm sorry, when did you place it January that year?

February? It would have been late December or January. It didn't seem that early, but yeah, I guess. And that's kind of the point. This is the point. So what I anticipated was is Tim Cook to come out on camera and be something like, hey, iPhones are amazing. You should buy some. But we had this little supply chain problem coming out of China, and we really can't get some of our products to market. So we think we're going to miss our number. That didn't happen. And my Broadcom long volatility position did nothing. It was a complete whiff. And the market didn't really start paying attention to this until the subsequent month. So even though I would consider myself to be as informed and as educated on this as, frankly, most people on the front end of this, it was still very difficult for me to trade. And I was wrong on that trade for a good 60 days.

Yeah. And to be clear, when did it start, Noel? When did the decline actually begin? The day after February OPEX. And when did the decline from COVID end? So start of the day after March OPEX. That is not a coincidence. I know that's a fact because I was actually talking to, I won't say the name of the bank because they were clearing all my trades and I, as a longfall, Gaia was up a gazillion dollars. They were begging me to let them out. That was Martrop X. No, it's totally the flows. If you're a pick trader and you're standing in the pit and you have, you know, 10,000 shares to sell or buy or whatever, and you see the stock going against you because they can see what you're doing. They see the options trade come in and then they fade you. So, you know, becoming a believer of flows is just using your eyes and your ears. It's not like it's religion or you have to just kind of take faith. I mean, it is a mechanical thing that exists. But macro?

and flows, right? Because the reality is the macro is true. We knew that to be true. We was managing money for McKinsey. We think somebody had some good insights on what's going on underneath the hood with COVID. We were having conversations daily about COVID in December. But the market did what? Wall compressed. People were trying to position and hedge. Skiu went, I just told you, Skiu was exploding higher. It already was quite high. But what that led to was people scratching their heads as the

market rallied and vol compressed into FEB until the exact moment that all of the open interest, which was massively at the core of the OPEX in March, where dealers were short put, fat left tail, and you get this OPEX reversal literally the day after OPEX. And then it forced all of that open interest, all that risk into those books to explode.

And so understanding that it's why we have to talk distributionally too. It's not just up and down. It's like if that decline was going to happen in March, it was going to be a tail event. I could have told you that we did tell people that we were long ball for the clients there. So can I just interject for one second because I think this is so important. I think people get the idea of capital flows and where money flows, that's where money is going to get made. And I think most people, most regular retail investors, we've got some professional traders, but most people watching this are regular retail investors, they understand more the macro side. I've got a hypothesis. I think I'm going to be right on it. So let me position for it. And what you guys are really making clear here is the money is made in the overlap of the two, which is understanding what is most likely to happen, but not betting super big on it until the flows are confirming.

that your thesis is now starting to matter now. So you're not pulling a Broadcom like you did Noel, where you were just too early in the part of the market that didn't move. But to your point, Jim, you had a strong sense of where things were going to go. So you got ready. And then when the flow started, mattering after the options expiration, that's when you went big and we're able to ride the arrow. Am I capturing it generally correctly? That's absolutely right. And of course, if we had the perfect crystal ball, it always knew exactly at what moment, you know, we would, we would bet a hundred or have an infinite number of dollars. But the reality is probabilities increase dramatically for certain types of moves, right? Under certain types of positional outcomes. And that's true for not just a tail move. But that's also true for supportive, all-compressing, which happens in these scenarios when people are broadly hedged. That's what we are seeing right now. The macro realities of what happened at the midterm, the macro realities of what's happening under the hood with interest rates and oil and inflation have not changed today. Right? Nothing has changed. Right. What

has changed, actually? I've got anything they've been accentuated, made worse by some of the outcomes, but yet the market's up.

And I'm telling you the supportive flows up very well, because people are hedging, there's worries, et cetera that are likely to cause support. I'm also going to tell you here shortly that the macro is getting considerably worse as we go forward. And at some point that those supportive flows will, I can give you a general sense of when those probabilities increase, will generally fade, right? And I get the sense too that part of your firms competitive advantage here, too, is you understand the dynamics of the flow side of the market. So that kind of like with the options, explorations and things like that, you have a sense of what's maybe bottling up flows that will then maybe unleash them. So unlike most retail investors, we just make the trade and we cross our fingers and hope we're right at some point. You guys have a good sense as to when the dynamics are creating an environment where the flows are going to start getting unleashed. And I presume that's sort of where you start to take your positions, correct? Yeah, that's correct. So consider when you're standing in the crowd on the trading floor and you've got the guy next to you and you know he's got like a 10 million maximum bankroll. And he's already 9 million into his trade. You know he just doesn't have that much more marginal room. Or say you want to buy your neighbor's house because he has He wants to sell it, but he doesn't have to sell it because he's got plenty of other money. But now you've learned that he's a smart guy. He knows this house is worth a million dollars. There's no way he's going to sell it for a half a million. But other things have changed in his life. Now all of a sudden he has to sell his lawnmower, his pool, his pool, his house, and all that stuff. So what you can do is you know that smart people will make rational decisions because the alternative is even worse. So it's not so much that...

that a guy is selling his house for a half a million dollars when it's worth a million is all of a sudden dumb. It's just that he knows if he doesn't it's going to go to 250. So you have an opportunity to come in there and use the structural part of that decision tree that he has to make. You can disentangle where the positions are for the market makers and then you can place your bets as accurately as you know how. And that is a superior trade in conjunction with the overall mindset that the macro flow or the macro is

going to push things a certain way. It's the nexus of those two things. I'll add one more thing, which I think is important. There's a great explanation. I just want to note one thing, which is that's information that most people watching this don't have. So I just want to make sure that as people understand, well, what's so special about asset management and whatnot, is that you guys have that visibility and expertise. I think that's right. I think there's one other important thing, which is a little less nuanced, honestly, which is in order to express these Views, which are very nuanced. You want more precise tools. So you don't want to just say, okay, I'm going to go short now, or I'm going to be long now, right? We're talking about, okay, we're entering a period, for example, which is going to become increasingly fat tail, right? And what that means is maybe it's not time to short quite yet, but you better make sure that you're prepared for if something happens, it is going to be then an explosive.

which would be obviously a put position. Options, broadly, allow you to be incredibly precise with betting on parts of the distribution that are credibly undervalued, right? Or overvalued. And the ability and expertise to be able to position appropriately, understanding how to use these incredible tools, which are a much more precise form of positioning, which is options themselves, itself is an incredible source of alpha. Are you looking for a trusted health insurance? Allianz covers you beyond borders. We deliver peace of mind just a click away with global telehealth access and round-the-clock support. Backed by 2 million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit AllianzCare.com and explore our Singapore plans to find out more. Terms and conditions apply. Yeah, and they give you the opportunity to, when you lose, Not lose a ton and when you're right you can make an absolute killer because they're precise. Yes They're a tool in the toolbox. And people that are afraid of options, frankly, should give themselves an education to say that a Phillips head screwdriver is better than a flathead. It just makes no sense. They're just different things. You know, why would you not want to have hex wrenches, Torx wrenches, Torx, you know, Torx everything? You should be able to use exactly the tool that is fit to purpose for the problem. And that's what options and the reason that I pay attention to options because it just adds granularity and specificity to our trades that we can maximize our outcomes.

Okay. Well, I'm glad I scratched this because I think this was really important clarification. I did sort of prevent you from getting to the meat of the macro gem. So why don't we go back to that? And I don't necessarily want to preset this by saying you are super negative for 2027. But as you look at the macro side, what trends do you think are the most important and how are they trending? Yeah, I think so. A couple of things. One, I've said for now nine months that The Strait of Hormuz is not opening, and it's not opening any time soon. There's going to be lots of signs and positioning and commentary narrative, whatever you want to say, from the administration along the way. But the simple fact is that we are in the Strait of Hormuz not because of nuclear weapons, but because of the US dollar. China started trading with Iran and Yuan. They started trading with Venezuela and Yuan. And if there's one.

kind of trump card, no pun intended, for the United States of America. It's the same trump card, I would argue, for any empires at the beginning of time, which is the control of money. We are able to tax the world, solve our problems, essentially by being able, and this sounds too good to be true for people, it's not. This is true by printing dollars without a meaningful effect to the currency of the United States, because There's natural massive demand for our currency because people have to trade in our currency. Okay. And so to underpin that, that is not just a one two-year thing. That is a 50-hundred-year thing the US has and you can go read Kissinger's kind of commentaries from the 1970s has had a direct policy of making sure that commodities continue to be traded in dollars. This is the concept of the petro dollar because the majority of trade happens vis-a-vis or related to commodities themselves. So this is the moat to the US dollar. What the US could not allow to happen, period. Point blank was for a change in trade of commodities. And so, yes, Venezuela.

perfect outcome for the US, you know, doesn't hurt economic growth or other issues globally and the US maintains control. But in terms of Iran, people, everybody thinks this has been a major loss, you know, for the US. I would argue that the US went in very clearly understanding that their worst case was the straight of form who stays closed and stays closed forever. And that's our worst case. and that the U.S. ultimately maintains de facto control of commodity trade in dollars. And that's what's happened. One

something that nobody's talking about. I don't spend too much time on this is that the literally the Houthis who have a flag that say, death to America on the flag have allowed only one country to trade and to have free passage in the straight of Bob Ellen Depp, which is the other side. That's the United States of America.

All trade currently is being controlled and managed by the United States of America and it's being done in dollars Now how they managed to make that deal with the Houthis. I got some ideas. You make your own conclusions But Houthis don't have the technology to bomb Saudi pipelines without it somebody helping them. I'll tell you that much and so Make your own conclusions, but somebody helped the Houthis and the Houthis then turned around and gave the US full access to this This is real politic. Nobody likes to have these conversations and think about it. This is real power. This is what matters ultimately long term in the world. But I'm telling you, the Strait of Hormuz is not opening unless it's controlled by the United States of America. Or there's a political upheaval that says enough is enough and forces the US to withdraw despite its better interests. This is the reality. So what does that mean from a macro perspective?

That means there's only certain number of molecules in the world as it currently stands. Flow of commodities is poor globally. And we're getting to a point of inelasticity in commodity prices, because tanks have been drawn down to the bottom. And we could talk about sure that have happened this time or that, but what I can tell you with 100% certainty as if the straight up formula is not going to open. And we believe it is not. That at some point, inflation becomes inelastic because commodities themselves are almost all, the majority of fertilizer, diesel, everything at some point kind of boils back down to energy. And those energy costs are supplied demand-wise. So supply-driven inflation across multiple commodities is what you can see is likely. So this is a major macro.

Headwind to markets Importantly, and this is this is just layer one. This is also a major input Not just brought inflation, but to the cost of money itself Right because what because interest rates have to rise if inflation expectations are going up and especially in the context There are other inputs to be clear to the price of money inflation is just one of them But

remember we have two other major major forces on the long end of the curve What are they? What are the biggest forces? Well one everybody borrowed money at zero percent interest rate when money was cheap in 2021 and the average duration of that debt was five to seven years So we've known and the good ministration is known. This is why they passed the strategic loan ratios This is why they passed the stable coin act at the end of the day. We they've known they have a tidal wave of a refinancing This is this is the started that started this year the maturity at wall, right?

And it's sovereign, it's corporate, it's municipal, you name it, okay? So this that we've known, this is a one-sided supply and demand imbalance for debt writ large globally. And again, the administration's known, so they've prepared and tried to manage it as best they can. But now we have this other pressure, which is inflation. Now add to it, this bitch is brewing another massive. massive thing, which is what? Well, we've been driving continued economic growth. The administration, and this is that third leg that we'll get to in a second, has been pushing. Ever since September of last year, remember, they got all of the hyperscales around the table, and you got a lot of dear leader. I'll be doing 600 billion this year of the next two years of CAPEX. I'll be doing 400. I'll be doing 500. And to the point where, I don't know if you remember, but Zuckerberg, who was sitting right next to Trump, had a hot mic moment where he said, Boss, was that the 600 billion the number you were looking for? That was the hot mic moment. And if that tells you anything is that they've been pushing, the administration's actively been pushing these companies to do more capex, to point Oracle, right? Larry Ellison is one of the closest people to the administration has basically mortgaged the whole business at scale. I mean, from afar, it's somewhat irrational to the extent.

that they're going and taking debt. And the reason is they have an embedded put in our view. The administration has been actively pushing them to do it and said, we got your back, just keep going. The problem with that, and that wasn't a problem when all the hyperscalers had all this cash. What happened this year? All that cash went zero. And then they started taking on massive debt. We have hit And that was, again, a cushion similar to the strategic loan ratio to drive growth. And they're tied to these massive spending commitments going forward. So they're going to need a lot more

funding. Correct. So that helped drive this earnings growth and the CapEx boom and the equity asset move that we've seen the last year. But what does it start to do as well?

Well, not only has it pushed those interest rates higher, because it's now adding on to all these pressures that were already there, refinancing, now straight up hormones and all the inflationary pressures, yada yada. But importantly, it's starting to push on credit default swaps and credit spreads are starting to blow up. Yeah. And it's crowding out government debt too. That's the point, right? The long end of the curve is pushing up because now we have even more debt that people need to take out. It's crowding out the whole picture. So it couldn't be more right. And to the point now, Elon has said, You said it two weeks ago, neoclouds have just all funding for neoclouds is dried up. It doesn't exist anymore. And so how do you keep driving a very fragile, narrow economic growth, right? When the cost of money is just spiraling higher. And yes, we had this pullback, but I think most people who trade bonds saw that pullback as exactly what it was, which was, we got to 5.35 in the 10 year and stuff just started breaking. And then there was move back to safety in the US dollar as we de-rest. So the point here is we're in this catch 22 now, where if you want to continue the growth or you want to do keep justifying these valuations and the growth that we need to see, there just has to be more of that debt. And the only way that we're going to get more of that debt is with higher yields and higher credit default swaps, which are then creating more and more stress. So there is a cap.

that is building on this market without, this is the big kind of payoff here, without a bigger entity coming in and backstopping it. The year has to be a buyer to this debt at the end of the day. The refinancing debt, the debt that is driving the actual AI growth and all the investment, there has to be a buyer. Hank Paulson came out in April of this year onto Bloomberg. out of the blue, hadn't spoken to media in years, to declare for 45 minutes that we are approaching a coming debt crisis and that we need to prepare a facility to backstop the treasury market. Go check it out. We all heard it for like, I think 24 hours, the media cycle just digested it. Do you think that was a coincidence? Do you think Hank Paulson came out of nowhere after two

years to announce that we're having a coming treasury crisis to the world and that we need to prepare a facility?

My opinion is no, absolutely not. And if anything, that's a trial balloon. They've been announcing and explaining that we're going to run this hot, that we're going to, you know, that is what is coming, partially because there's no other way out of this. So if we are going to see any continued growth, if a straight up family is going to stay closed, there just simply isn't enough buyers of the debt given the structural realities. of where things stand. So from a macro perspective, given the lag and the coming in elasticity in the commodity market, a lot of the fertilizer costs and stuff will be really experienced as we go in the spring. A lot of these things, again, as I said, are inelastic. And unless we're going to solve this problem once and for all, only could I get worse at some point. Given those realities and the supply and demand and balances and need for financing, this either goes down, meaning the market goes down.

credit default swaps continue to get worse, and eventually get saved as we've seen in every other crisis for the last 20 years, right? Or 25 years, I guess I should say now, which is by money printing. And this time around, though, buying stocks and supporting the market. Either that happens, or things break hard enough as the market accelerates into growth. that they have to kind of come in with policy into that growth too. And that's very hard politically, I'll say, to support kind of the debt of these companies. Are you looking for a trusted health insurance? Allianz covers you beyond borders. We deliver peace of mind just a click away with global telehealth access and round the clock support.

Backed by 2 million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit AllianzCare.com and explore our Singapore plans to find out more. Terms and conditions apply. Okay. Which do you think is more likely? I haven't seen QE without a crisis, ever. And I think to argue in this populist environment for Backstop incorporations, backstop, stop, incorporate debt. In this populist environment, all you have to do is look at this election and tell you how that'll go. I think to make that argument without a crisis would not be nearly

impossible and they know it. And the amount and the scale that is needed here is not just incremental like they've been doing.

Boiling the frog and showing us the treasuries bought the long end of the curve. They've done buybacks. They've intervened in the yen That's on the money printing side. We've been buying stocks like Intel and MP materials and taking ownership We've been boiling the frog and doing things that we're not usually doing at all-time highs But if they you can only do so much and and at some point the market naturally in my opinion given given how imbalanced the market is has to adjust. And in my view, at some point, they step away and let it happen. It's not to say they're going to make it happen. It's the natural course of where things are going so that they can come and save it. And I want to be clear, they've already done this twice, like in a much smaller scale.

So the feature, this has become a feature, not a bug. The liberation day, world is on fire, you know, 150% tariffs, like never mind nine month delay, 10% tariffs on some of those. Create a crisis, resolve it, pump ball. This goes back to flows and pump the ball best and so. So reason we have a hedge fund manager as the treasury secretary and a hedge fund manager as the head of the reserve. You know, markets are what matter at this point. They are the primary driver of liquidity and they understand as well as Noel and I do. that if they can expand vol, if they can get the world scared and then reverse them on a dime and solve the problem, then they can create a squeeze and keep things going, which drives liquidity to the whole system. And they did it again this, you know, Feb, this, this March, you know, end of a civilization will come tomorrow all by, we have a deal in two weeks. We got a deal in two weeks. We got a deal in two weeks. Were any of those, you know, things true?

or was it all narrative? And what actually drove price down, vol up, and then rebottom reversal? It's all been narrative. It's all been clear, kind of mapping out by the administration. So my view is that they're going to, quite frankly, allow this one to happen. Maybe you can allow it to happen. Not engineer crisis, but just allow it to happen. bad enough that they can come rescue. So Noah, I'm going to come to you in just a minute to talk about, all right, how does one position for this? And of course, you know,

not do so too early. But Jim, a couple of quick questions for you on this. One is, if they're going to allow it to happen so that there is enough pain that they can then step in to be there the white knight, we can only guess here.

But what is your guess on what that pain will look and feel like? It's always about incentives. They don't want to lose control, right? But they want it to be painful enough that they get buy-in from now, a Democratic Party that's going to eventually have control of Congress, that they get enough. It has to feel like a crisis. And enough people have to scream. So is that a 25% decline? There's another important dynamic here because it's not just price. A crisis is not just about how much down something gets. It's how fast it happens. It's fast, right? Like 2022 was down 20 plus percent, but it took the whole year, whereas that was more prices. I want to highlight, this is also a critical, you're saying, what do you guys have? How do you guys have an edge over others?

being able to use options is critical here, right? Because the asymmetry and the timing of this, the path, it's an incredibly asymmetric opportunity. If you're just going long short stock, it's going to be very challenging. So what do we know? I would say from an incentive perspective, they really, really want this to be resolved by June or September of this year because then they have 2028, right? And they really want to get things... this new facility, new liquidity, all the control that also comes with it. Imagine Trump with a 10 trillion or 5 trillion sovereign wealth fund. Imagine the ability to wield power that that gives, right? So, or all the Trump account. And this crisis gives you the air power to create that sovereign fund? Oh, absolutely. I mean, the Trump, they're already laying the infrastructure. The sovereign wealth fund has been already discussed. It's actually broadly popular. They're trying to figure out how to get Fannie Mae, Freddie Mac inside to kind of create the initial assets to them, leverage. There's already like lots of work being done there. But they've done the other part, which is the Trump accounts. Trump accounts were a discretionary for 12 and under, became permanent for 13 and 12 and under, then it became permanent for like required for 18 and under. They're now talking about moving up to 40. This is the ability to buy stocks and send it to people directly, right? And this is very popular. This is right wing populism.

So they are trying to make this popular. The difference between left-wing populism and right-wing populism is right-wing populism. They're going to buy stocks for you as opposed to send you money. And you're not going to be allowed to sell it. You got to own it for 20 years. Same with sovereign wealth fund. We'll own it on your behalf. We will fund social services on your behalf. But it's not a direct liquidity. But you cannot spend it. That's the key. And so this is this right wing populism is going to be very popular. So you you ask me about timelines. Ultimately, they want these tools, in my opinion, the incentives are there for this whatever is going to happen here to be resolved by by mid to late next year. Generally speaking, the incentives are sooner rather than later is better. So we're talking about something in my opinion that is six months or later. There's also the control element, you don't want to lose control, which means you want it to be fast because the way liquidity works is it's not just the market goes down 25%, all of a sudden liquidity comes out 25% of 300 trillion in equities. So 75 trillion of liquidity comes out. No, it happens on a quarterly basis. If the market is down a bunch, but on a multi-quarter basis, then banks have to re...

account for it in the end their leverage ratios have to deleverage is all these things so so they were gonna want this to happen Arguably within a quarter, but at the minimum in two quarters and you're gonna want it to be done by let's say at least have started I would argue by March April of next year. Oh my gosh wait When you say it started do you mean the rescue starting or do you mean the crisis starting because if the if the rescue is starting then the crisis has to come soon It's going to be quick in my opinion, and they're going to want to similar to the last two kind of declines, but this is going to feel like a real crisis. Again, I would argue if anything, this has been training and boiling the frog, trying to get markets to follow the grooves of what they've shown people works. Remember, Trump told us to buy stocks at the bottom.

early 2025 they will tell you when to buy stocks again When this happens, they will give you the risk on Because they want to have the control ultimately in this management of the market so my view It's a big call. Is that something's coming sooner rather than later? I believe that the flow, you know, if anything, Besant understands what we understand and he understands when the market is more ripe for it. He's more likely to have

control. That's part of why they've done each of the last two in the Q1. Q1 becomes a much more dangerous place from a flow perspective for the market. And they also prefer not to, you know, the end of the year can be a dangerous thing. If you lose control at the end of the year, there's funding issues, all things they can potentially lose control. I don't think they want that.

But they would like to operate in this kind of window, Jan, Feb, March, ideally. But that's where the incentives are. I don't have inside information on this. I want to be clear. Nobody's told me this. But if you listen closely, they've been telling you this. All of the signs point to this is what is coming. And the incentives point to a Q1. You know, could start sooner. I want to be clear. There's these positive flows that the, you know, here right now are not impenetrable. And if the administration decides that they want to attack Iran, if they want to push, you know, several outcomes here that can accelerate risk, you know, it can happen here. I, you know, I would argue that that this is an opportunity to start.

capturing, collecting long tail, not putting it all on for one month. This isn't the COVID trade that Noel was talking about that you put on in December and watch it all go away. You want this to be longer dated puts and you want it to be funded somehow with other things. But this is the tail that exists. You want to start getting prepared but also looking for when the flows like we talked about are just right, which are probably starting in June. Okay, super interesting. And again, this is something that you're putting together, looking at all the constellations here. So I'm going to put some words in your mouth. Feel free to change them anyway. You see an uncomfortable possibility and uncomfortable odds that a painful market correction that will be relatively sharp and sudden is going to happen in Q1 maybe as early as January that eventually they'll get bad enough that the powers that be all right to the rescue in terms of the scope of the response. Are you looking for a trusted health insurance? Allianz covers you beyond borders. We deliver peace of mind just a click away with global telehealth access and round the clock support.

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and explore our Singapore plans to find out more. Terms and conditions apply. Give me a relative assessment on how large, relative to say like what we saw coming out of 2008 versus what we saw coming out of COVID, right? The COVID was just bananas. Would it be as large? Not quite as large, even? Every single one has been bigger than the one before, right? And you would expect this one to be even bigger than? I would. But I don't think the crisis will be nearly in 08. I think they're going to be very proactive, as they have been here, to managing price. Now, I want to be clear. This is the plan. In the words of Mike Tyson, everybody's got a plan until you get punched in the mouth. This is what they would like to accomplish. I would argue also, the midterms has made their control like as diminish their level of control and you could argue that There's much more structural risk here. You know if a administration doesn't feel like it can actually Or won't be able to potentially save the market into a situation where things get out of control. I'm not saying that's the case I think the base case has to be that you don't fight the Fed you don't fight the Treasury especially if they've been proactively prepared and are ready to deploy But you have to be open to those risks and those distributional realities. But my view is that there's a risk that this could get away from them. So in other words, this crisis that's allowed could get a lot worse than they want because coordination isn't as good. And there's all kinds of things that they can't control that other by the way, they're sitting in that ring, you know, have a plan, but there's China on the other side who doesn't want them to accomplish these goals, right? And outside of China, there's companies and AI businesses probably don't want some of the you know, there's going to be some also some issues under the hood of when they take ownership populist, like politically, they're going to not be able to infuse this money without maybe giving, taking a 10, 20, 30, who knows percentage of these businesses along the way. And they've kind of signaled that that's their plan, right? That's what makes it populist, right? If you're buying those stocks, you know, you better be getting terms for it. Otherwise, that's not as popular, right? And so there's going to be some conflicts of interest from corporate interests as well.

Right. And so my point is it's not a simple thing to do. They're trying to do something very historic. And at a scale that we've probably never seen before. But not never. I would be clear, Japan has bought 8% of the Nikkei

on snake, 8% of the Nikkei and printed ungodly amounts of money to buy all their debt or essentially doing the same thing Japan did. But I will say that like for the scale because the US is so big. that we're going to do it. It's definitely historic for the US. And so there's a lot of risk there, for sure. But yeah, I think I would expect this bigger than anything we've seen, particularly in, you know, we've never seen the equity buying piece of it. And I think to be clear, I didn't say this, but I do think it's important. Another major benefit of this, it solves several problems is not just supporting equity markets and driving growth and structural inflation to monetize the debt. Those are all true. It's not only popular, kind of disrupts the K-shaped economy from a white right wing populist basis, but it allows the US to compete with China because we will be driving that investment to strategic businesses to compete with China. This is, like I said, right wing populism.

It's at the end of the day, China has been sending money to solar businesses, to electric car businesses, to nuclear, to rare earth, you name it without a profit incentive because they're strategic. And the US has a very hard time competing with that at scale if it's not doing it within the equity market channel. So this is essentially, just like China adopted what did it call it in the early 2000s, free markets with Chinese characteristics. We're going to adopt socialism or communism with American characteristics. The command and control with the American flag stamped on the side of it. That's exactly right. And almost because we have to. Because if you don't, how do you compete in a world where the competition is doing that?

Jim, I'm not sure if you're familiar with Michael Everry's work, but he would be listening to this and nodding vigorously while listening to you. Several others are starting to pick up on this for sure. We're not the only ones nowadays starting to talk about it. We've been out there talking about it for about nine months. And I think it's everything we've seen is now falling into line. I think we're trying to be very precise with what we're telling people too. This is not a wishy-washy. They may be doing this. This might be their plans. We believe they do have us, you know, all the incentives point to soon and we've been saying nine for nine months. It would be after the midterms. So, you know, we are here. Yeah, the clock is now it's a matter of navigating this and the precision of options and looking at flows

becomes incredibly important. Okay. And that's why I'm going to pull Noel back in here. All right. So you presumably at CHI asset management, you've got this probability set that you're looking at and what what jam just laid out for us. I'm guessing is sort of probability number one, most likely number one. How are you walk us through how you position for this or how you plan to position for this? No. So it's a simple question with a lot of nuanced answers. The problem that really anybody listening will have to solve for is sequencing risk, right?

So if you're 20 years old and listening to this or 75 years old and listening to this, you're setting yourself up for a very different outcome. Even if you're investing for the next 10 years, you're respective of those two things. Because if we draw down 20% tomorrow and you can buy the bottom, that's different than if you're all invested right now and you're not able to buy that bottom and you have to wear that whole 20%. So that's kind of where options come in. One of our products is a hedging product. And what we're doing there is we're trying to solve for, you know, catastrophic problems that can be very beneficial for your book if you have those proper hedges on. So we're using a combination of options in the S&P options on the VIX and also variance futures as kind of a way to get some extra convexity variances just volatility squared. So the combination of those things, the idea that volatility goes up and you don't make money is mathematically impossible. So that in conjunction with other strategies that we currently deploying is a superior and smoother way to invest and diminish some of that sequencing risk so that you can make a decision in the here and now without being petrified and also potentially capitalize on crisis alpha. So walk me through how the flow monitoring is going to work here. So presumably I'm going to guess you correct me if I'm wrong. I'm going to guess you might even have some preliminary options trades on just because you don't know when this is going to happen and maybe it could happen tomorrow.

Presumably, you've got a bunch of dry powder that's on the side that says, okay, when the flows start really going the direction that we think, we're going to really double down on this trade and bring new capital in. Am I thinking about this right, or do you have a different approach? So it's interesting that you asked this, and I want to jump in here, not to speak over

Null, because this is really a concert approach. Null, in their funds and what they're managing on the actual trade level, We are actively looking at flows and structurally positioning with these in the more optimal place on the curves where things are the cheapest, where they're the most concise, the most convex and asymmetric. On our end, our allocation to those strategies, because we're not just allocated to those strategies, they're a tool, or many tools in the toolbox is increasing here, right? That doesn't mean we say, okay, this is happening. We're going to put all our money on black.

The probabilities have increased to this. Now we are also on our equity side of the portfolio, transitioning to things that we believe will be much more resilient to this and benefit coming out of it, which are strategic businesses that they will ultimately be buying, as well as structural debasement inflationary hedges. but businesses still that are kicking off yield and are great businesses and have growth themselves. So this is kind of on our equity side portfolio of what we're doing. And then again, giving much more of a meteor allocation in preparation for what the risks we see coming as we allocate to the strategies that know from more convex side. is managing for us as well. So just like any good team, you need several pieces. Noel and his team and our broad team are experts who are now solely focused on optimizing that hedge, given what we see happening. But it's not that they are only going all in on this. We are taking a concert approach. And so just to my question there, with your team, is it correct that you've got reserves?

in play, in other words, they're not going to come on until the action really starts getting hot. When you say reserves, these are embedded hedges. So the amount of expansion of the hedge as we go in, that's the beauty of the asymmetry we're talking about, is significant. And to be clear, we're talking through this, working through it real time always, but are leaning in and increasing and, you know, and modeling the perfect hedge given the scenarios more and more as we move forward. So it's less about bringing in X investment when the time is just right. It is modeling it now. So as we move towards that, it naturally decays into and creates a much better distributional outcome for us. Okay. And just to help people sort of understand exactly what you're talking about, I get the options on the S&P and the VIX, right?

If you think the market's going to go down, I'm sure it's much more complicated than this, but you buy puts in the S&P, and therefore you'll make money if that goes down by calls on VIX because you expect volatility to pop during that. When you talk about debasement hedges, obviously my mind goes to gold. What else would you put in that bucket? So we like to position inequities primarily. for the debasement trade. So the idea here being that there's, I'd much rather own a business that invests in, you know, pulls gold out of the ground for example, right? So the miners. The miners, but that's one example. We're also doing it across farmland. We're doing it across lumber. We're doing it across other commodities, energy, et cetera.

But these are producers of hard assets, essentially. Right. Why do we like that move more? One, because there's an embedded yield, these things are a lot of them are cheap because they've been kicking off great cash flows for a time. But they're also, if anybody has better information about kind of when to hedge or when not. They do. They do. Because it's existential for them. That's exactly right. So I'd much rather for my long-term risk adjusted return, much like we outsource to a team that can do the best part of each piece at a time to the actual businesses that we think are top performers and yet diversify to those commodities that we think can be convex within an equity portfolio.

I want to be clear. That's not the whole equity portfolio as a part of it. And that is one of the major themes that we focus on. But we are also, again, very focused on strategic businesses for America because we believe that the US is going to deploy this plan over the next year or so. And we believe this will be a 10 year. By the way, this is just the beginning. We think this will be ultimately 10 trillion plus of US equity investment. So this is a mega trend. This is a mega trend. So that we really want to be in the businesses that we think that they'll likely be or areas they'll be pouring money into, right? Because we don't think they're just going to go by the SAP. Can you give me a sector too? Is this military and defense? Is this? This is actually pretty wide, meaning go down the budget, the current budget of the US government. Everything that would be included on that budget would be probably on that list. OK.

I would also expand that to strategic in terms of competition like AI and infrastructure for AI. I think some things have been very hot, but there are also ways to bet on those trends like that maybe haven't performed. So draw concentric circles to basement because so good cash flow kind of resilient to structural inflation to strategic anything, even a healthcare, right? If we're gonna, in the US, we need more kind of money flowing to healthcare to reduce those costs so we have more room, and it's a very populist trend as well. So those things, you better believe if we create a sovereign wealth fund to buy American stocks that we are going to buy those stocks that are ultimately going to serve the American people. And I think that needs to be the core focus. Okay, and I think this is implied in what you've said, but I just want to clarify it. So the options on the S&P and the VIX, that's kind of playing the plunge. But what we're talking about here with the strategic businesses and the debasement businesses, that's playing the rescue, correct? That's true, but these business, remember, there's nothing as guaranteed in this world, right? And so we definitely want to be playing in a way that's asymmetric. If we are wrong, this setup should still make money, right? The question is how convex will it be otherwise? If we knew, with 100% certainty that we're going to have a 50%, 40% decline, right? We wouldn't have any equities in the portfolio, right? The key is using the power of diversification, using the power of the asymmetric information we have, distributionally across the portfolio in a way that we can now create a more neutral setting to this portfolio at base while still taking advantage of if these things happen in the way we believe they're going to happen and outperform. So we have a lot of asymmetry in the portfolio and you better believe if it plays out, we will, this is critical, monetize the hedges, be very, very aggressive taking our profits and taking all those gains.

diving back into and even dramatically increasing the equity exposure at that point, right? But the key here right now is given the risk and given the distribution to be better hedged, to have in the portfolio the right type of things to be liquid in the case of these things happening. It's a very short window. We're really talking about seven, eight months, right? This should be happening. And to have optionality, and not just in options themselves but in lots of other ways because ultimately having cash in the portfolio if and when that happens and not just cash but the actual payout that would come from that convexity would ultimately be not just helpful but can

dramatically change your long-term return profile and the ability to kind of buy things at exactly when they're on sale. Okay.

I envision you here. I love the team analogy. You guys are the football coaches and you're determining, you're building your offensive team, you're building your defensive team, you're figuring out when they should be on the field versus others. And essentially, you're trying to create a strategy here as I hear you, Jen, that says, look, even if we're kind of wrong, it should still do kind of okay. But if we're anywhere right, given the asymmetry, it's going to be a bonanza. That's exactly right. And that should always be. You should always be looking at asymmetry in the portfolio. Everybody follows a very poor risk-adjusted return. I say everybody like 95% of the world is long stocks and bonds. These things have awful risk volatility dynamics relative to return. And particularly at this moment, given the risk we see happening, you want to be in a very, very liquid and low risk.

a steady reward kind of a portfolio that's very diversified and convex that then will allow you to take much more kind of risk when the moment presents itself. All right, fantastic. This is super interesting and really just... I mean I could talk for another two hours on this but we've already gone long so I got to wrap you guys up. I hope you guys if you're right and I don't I don't want to say I hope you're right because it means there's a lot of pain that's coming and a lot of devaluation of our currencies but if you are right I hope you guys make a mint off of this. for folks that would like to learn more about your firms and what you do and maybe might want to ride your guys' coattails through this. If it indeed plays out the way you think it does, where should they go?

Yeah, to be clear, this is not just us positioning for ourselves, right? This is, we have a large book of clients as a both a wealth advisor. We have chiwealth.com. This is for high net worth, super high net worth in family offices, more multi-family office. We have an asset management firm that allows, that allows entities to a la carte by the long convexity hedges. We have both a fund to fund that invests across other. convexity funds and our own, a direct hedge that Noel and our team is managing as well in the way that we describe. So there is a ton of tools for those that do not have those

tools. And we would be happy to partner with people. That's chiassamanagement.com. And obviously you can always find Noel and I on socials. I'm at jam underscore croissant. And I believe Noel, you're at Noel Smith. I'm at Noel Smith, just my regular name. Noel Smith.

and please find us there. But if you'd like to kind of meet with us, you can go to our website and sign up for a conversation there. All right, fantastic. So I will put the links to all those up on the screen when I edit this. I just want to make sure folks understand who should knock on the door in ChiWealth.com versus who should knock on the door at Chi Asset Management. Any RAA who's looking for help for their clients or a family office or high net worth that's looking for broad asset allocation help and wealth advisory help should go to chiwealth.com for anybody who's looking for a tool. Just that long vol hedge or wants to bet on that specific outcome alone or needs those tools should go to chiassetmanagement.com. All right, fantastic. Noel, Jim, who always has wonderful things to say but had a lot to say, any closing perspective on your rent before you wrap up?

But I have like a thing that I'm trying to push. The kind asset management aspect of the business is more institutional and that's going to be more niche for people. It's probably not a one size fits all type of thing. It's going to be a little bit more quanti and a little bit more fit to purpose for the institutional investors. Okay. And how about just on the whole thing that Kai and I, Jim and I talked about in terms of just. where he sees markets going next year. Any parting bit of investment perspective for folks you want to put out there? The idea that there's a debasement, the idea that there is a Bretton Woods type of unwind and all of those things that people have been talking about, it all makes logical sense from both an Austrian and a Keynesian standpoint. So it's very hard for me to argue against those things. I guess my main function would be to figure out how to time it and how to make profits from it. All right, well, to mix some original Star Trek and next generation Star Trek. Mr. Spock, make it so. With that being said, folks, please join me in thanking Gem and Noel for providing so much of their expertise for us here and delivering what could be a really...

important warning about what the beginning of next year might be like and want to make sure that, you know, folks don't get caught on awareness by

that if indeed happens. So please express your appreciation by hitting that like button and then clicking on the subscribe button below as well as that little bell icon right next to it. All right. Well, in wrapping up here, folks, obviously, if you want to talk to the folks at CHI Wealth or CHI Asset Management, go check out those resources. If you've got perhaps more general questions about how you might want to reposition your portfolio given everything that Jim and Noel talked about here, or any other questions that you might have about getting your portfolio set for 2027. I recommend that most people watching this.

make those changes in their portfolio under the guidance of a good professional financial advisor. If you've got one who's playing that role in your life, fantastic. Don't mess with success. But if you don't have one, you'd like a second opinion from one that thoughtful money endorses. Consider talking to one of our endorsed financial advisors. These are the firms you see with me frequently on this channel. To do that, just fill out the very short form at thoughtfulmoney.com. And these firms will be in touch with you right away. You'll have a bespoke... personally customized discussion about what they think you should be doing, given your exact unique financial situation and your goals and your risk tolerance. It only takes you a couple seconds to fill out that form. There's no cost to these discussions. There's no commitments either. It's just a service these firms offer to be as helpful to as many regular investors like you as possible. Jim, no, such a great discussion could be a really important one if things play out the way that you guys think they will.

Um, wish you guys all the best. Like I said, love to have you back on the program, um, maybe at the end of this year, early next year, especially if you start to see increasing signs, things are heading the way you think they will. Um, and again, just a big thanks for sharing all your expertise with this audience. Of course. Always great being here, Adam. Thanks for having us. Thank you. All right. Such a pleasure, guys. Everybody else, thanks so much for watching. Are you looking for a trusted health insurance? Allianz covers you beyond borders. We deliver peace of mind just a click away with global telehealth access and round-the-clock support. Backed by 2 million healthcare providers worldwide, we're trusted as the number one insurance

brand for the last seven years. Visit AllianzCare.com and explore our Singapore plans to find out more. Terms and conditions apply.